

The magic words are Drop Shipping. These two words will change your life. You don't stock, you don't buy the products beforehand. You only sell. Does that sound interesting? Drop shipping is basically outsourcing the manufacturing and shipping of the product to a third-party or vendor. To explain it in three lines: 1) Client places order for the product on your store and pays you the retail price. 2) You place the order with the vendor and they package and ship it to the end customer with your branding and you pay them the wholesale price. 3) The difference is your profit.

At this point you may be thinking if it's too good to be true... well there are a few knots you should understand before you jump into this sea.

The two faces of drop shipping

Pros

Lower capital required. This is the most obvious benefit here. In a typical e-commerce setup, you need to have all (or most of) the listed products on hand, ready to shipped upon order. That ties up a lot of money in inventory. Money which, unless you were born with a silver spoon, is limited and in short supply. You don't need to maintain inventory or stock products so you save heap loads of money on purchase of goods, storage, management etc. You can avoid the hassles and the headaches and focus purely on sales and marketing.

Simpler and cleaner process. A whole slew of responsibilities are cut out. Many aspects of management of a traditional e-commerce business are made redundant. No warehousing, no labour required, no shipment management, no inventory management. Market, get order, pass on the order. Simple and efficient.

Can start in a day. We are harping on this but again it comes down to inventory. Since you are not stocking, you can literally start in a day. Pick a product, tie up with a reliable vendor (you can find them online too, more on that later), start a website (online vendors provide a website also) and you are good to go!

Low expenses. You are only focused on website promotion. To start off, you can run this business from home on a single laptop and a single employee – you. Almost zero overheads. The shipping costs are built into the wholesale price you pay the vendor and below a minimum order level, you can charge shipping costs to the customer.

Sell anything on God's green earth. Since you are not manufacturing or stocking, you can literally sell anything under the sun as long as you